

July 10, 2026 09:00 AM GMT

China Auto Dealers | Asia Pacific

Pain amid Consolidation

WHAT'S CHANGED

Zhongsheng Group Holdings (0881.HK)	From	To
Rating	Overweight	Equal-weight
Price Target	HK\$10.50	HK\$5.50
China Yongda Automobiles Services (3669.HK)		
Rating	Equal-weight	Underweight
Price Target	HK\$1.20	HK\$0.60
China MeiDong Auto Holdings Ltd (1268.HK)		
Rating	Equal-weight	Underweight
Price Target	HK\$1.50	HK\$0.40

Luxury auto dealer earnings recovery has been slow, hindered by weak ICE demand, falling finance commission and store closures. Despite reduced market expectations, we stay sidelined and downgrade dealers, as pain continues amid dealer consolidation. We think it too early to bottom fish.

1H26 new car data weaker than expected: Both volume and prices of luxury ICEs were tracking behind market expectations. Volume for China ICE car retail sales fell 26% YoY in 1H26 due to cuts to government subsidies and high oil prices – Mercedes-Benz volume fell 28%, BMW JV dropped 18%, Audi JV declined 16% YoY, and Porsche was down 32% YoY. Despite cuts to MSRP (manufacturer's suggested retail price) since the beginning of the year, luxury auto dealers' new car margins remained suppressed due to falling auto finance commissions. Therefore, although fewer new car units could potentially lead to narrower total new car losses, as fundamental demand is unlikely to improve in the near term, investors do not appear convinced by dealer valuations despite 50-60% share price corrections YTD.

After-sales could be dragged by store closures: Dealers' after-sales services used to be resilient; for example, Zhongsheng's repair service revenue grew at a 10% CAGR and gross profit at a 13% CAGR in 2022-25. However, due to accelerated store closures this year, we are concerned that some customers might leave the dealer network for independent repair stores that may provide better value-for-money services. Weak consumption sentiment, as well as declining new car volumes, could also dampen after-sales demand.

Stay on the sidelines: We downgrade Yongda (3669.HK) and Meidong (1268.HK) to UW, and Zhongsheng (0881.HK) to EW, as ongoing dealer industry consolidation should suppress new car prices. Even top dealer groups are not out of the woods yet. We look for likely earnings recovery in 2027 post consolidation. Zhongsheng appears better positioned than peers, as it can expand after-sales to non-existing customers via its independent repair centers, while Yongda and Meidong may find it more difficult to retain customers.

MORGAN STANLEY ASIA LIMITED+

Shelley Wang, CFA

Equity Analyst

Shelley.Wang@morganstanley.com

+852 3963-0047

Tim Hsiao

Equity Analyst

Tim.Hsiao@morganstanley.com

+852 2848-1982

Joey Xu, CFA

Equity Analyst

Joey.Xu@morganstanley.com

+852 3963-0337

Peggy Wang

Research Associate

Peggy.Pc.Wang@morganstanley.com

+852 3963-3934

Asia Summer School 2026

CHINA AUTOS & SHARED MOBILITY

Asia Pacific

Industry View

In-Line

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

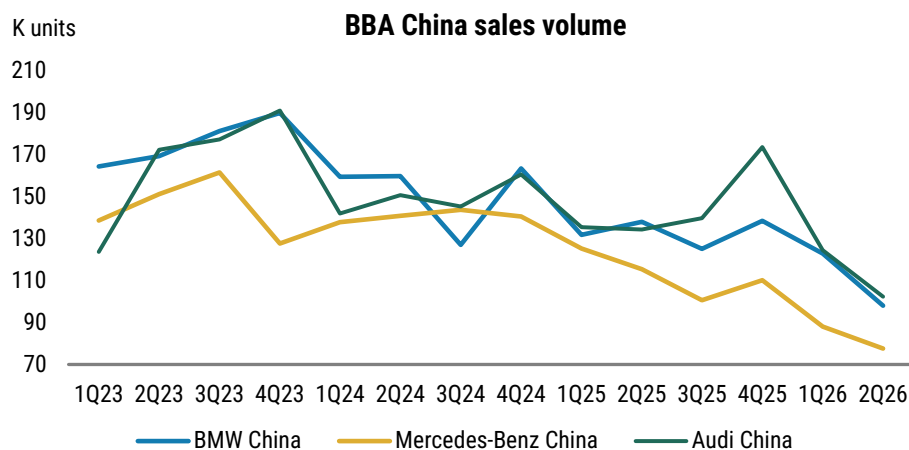
Investment Thesis

New car data weaker than expected in 1H26

Steeper decreases in volume: In China, declines in luxury ICE car sales, for brands such as BMW, Mercedes-Benz and Audi (BBA), were steeper in 1H26 than in the previous year. China total auto retail sales volume fell 20% YoY, ICE car volume dropped 26%, and BBA volume fell 16-28% amid cuts to government subsidies and high oil prices. Sales volume for Porsche China fell 41% YoY in 2Q26 and 28% YoY in 1H26.

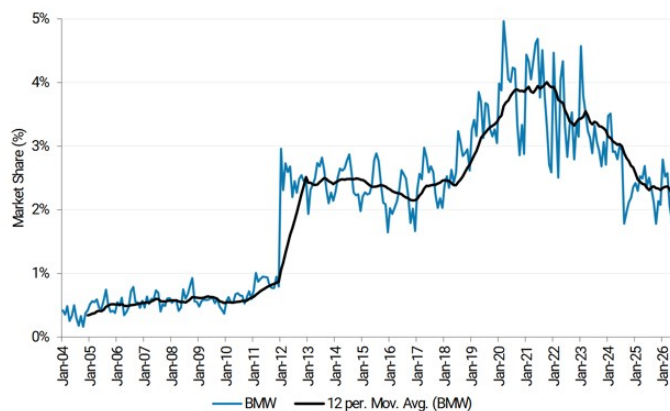
Fewer units, reduced loss? With new car sales loss-making, and new car volume down YoY in 1H26 and likely also down YoY for full-year 2026, there is a chance that aggregate new car losses could narrow and drive an earnings recovery. However, investor feedback suggests such a mathematical (i.e., not sustainable) earnings recovery will not be sufficient to drive a valuation re-rating.

Exhibit 1: BBA China retail volume continues to decline YoY



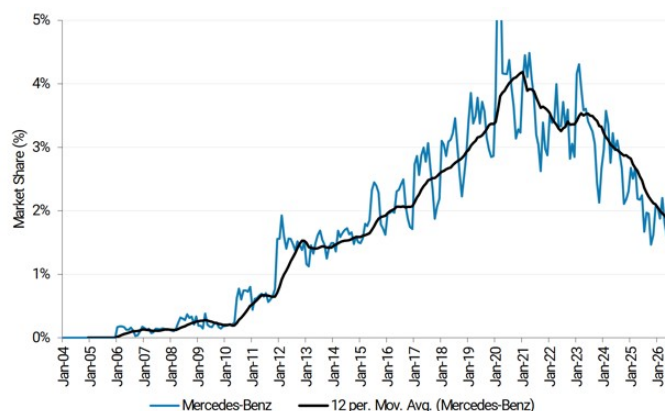
JV retail sales volume only, excluding imported volume. Source: China Passenger Car Association, Morgan Stanley Research

Exhibit 2: BMW China market share (%)

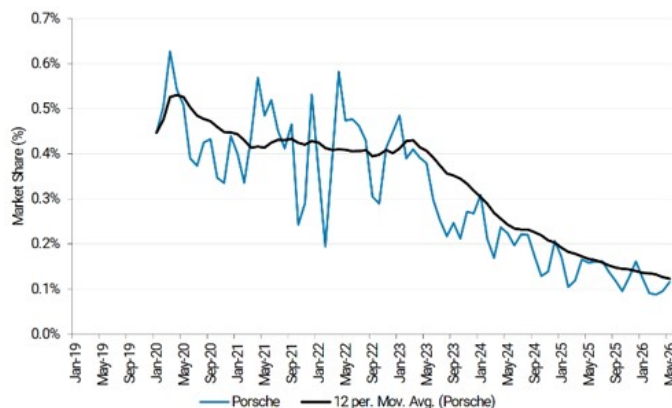


Source: CPCA, Yiche, Morgan Stanley Research

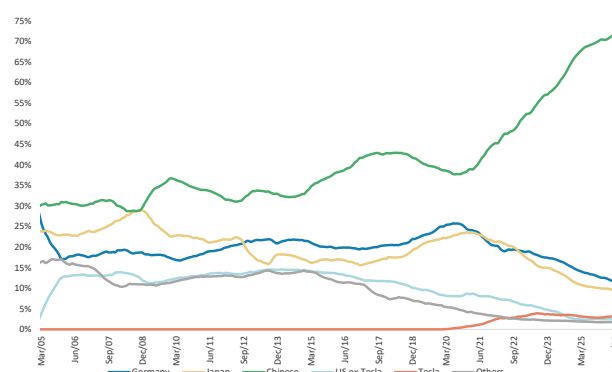
Exhibit 3: Mercedes China market share (%)



Source: CPCA, Yiche, Morgan Stanley Research

Exhibit 4: Porsche China luxury market share (%)

Source: CPCA, Yiche, Morgan Stanley Research

Exhibit 5: China market share by origin of OEMs

Source: CPCA, Yiche, Morgan Stanley Research

After-sales could be dragged by store closures

Reversing trends: In the past, auto dealers' after-sales revenue growth was supported by a growing ICE car population, new store openings, and customer retention programs. However, trends are turning into the opposite way, as ICE car population should decline in a few years (as EV penetration keeps increasing), the number of dealer stores is declining, and customers are looking for cheaper alternatives amid consumption downgrades.

For Zhongsheng, its after-sales revenue fell 5% YoY to Rmb26.1bn in 2025, vs. 9% YoY growth in 2024. Excluding accessories, its "core" after-sales revenue, including maintenance, warranty, and collision, also saw growth deceleration, from 16% YoY in 2023 to 10% YoY in 2024 and 4% YoY in 2025 (Rmb22.9bn). That said, Zhongsheng's after-sales business is still the most resilient among the three dealer groups, as its independent repair centers can serve non-Zhongsheng brands such as BYD.

For Yongda, its after-sales revenue peaked at Rmb11.5bn in 2021, and then fell steadily to Rmb9.2bn in 2025 due mainly to store closures; Yongda's number of 4S dealer stores dropped from 179 by end-2020 to 137 by end-2025. Its store concentration in the Yangtze River Delta region also means it is affected most by rising EV penetration among the three dealer groups. Since Yongda plans to shut down more ICE stores, we expect it to continue to drag after-sales growth.

For Meidong, its after-sales revenue fell 11% YoY to Rmb3.9bn in 2025, as it booked "auto finance commissions" into after-sales. Due to the cancellation of "high interest, high commission" auto finance products, Meidong's after-sales revenue dropped 27% YoY in 2H25, and we think its after-sales revenue continued to decline sharply in 1H26 against a high base. In addition, its "single city, single store" strategy means that once it closes a store in one city, it is difficult to divert existing customers to its other stores.

Other earnings risks

1. Increasing labor costs: China's social insurance contribution obligation is not something new, but enforcement has become stricter this year. Auto retailing is a labor-intensive business, as it requires sales persons and repair technicians. At the end of 2025, Zhongsheng, Yongda, and Meidong had 30,287, 13,243, and 3,763 employees, respectively.

Any tighter enforcement of employer social insurance contributions, e.g. from minimal-wage-based to actual-wage-based, would lead to higher labor costs from 2026. Together with ongoing operating losses, this could lead many auto dealers to reassess their business outlooks and consider shutdowns as options.

2. Zhongsheng's impairment cost: Goodwill accounted for 6.8% of Zhongsheng's total assets at end-2025, and intangible assets another 7.6% (thus 14.5% in total), much higher than Yongda's 6% and Meidong's 3%. If luxury ICE sales weaken further, we see risk of Zhongsheng booking additional impairment costs. Although impairment does not affect cash flow, it could reduce dividends if the payout ratio is linked to reported earnings.

Stock views and catalysts

Company	What's priced in	What's not priced in	Next catalysts
Zhongsheng (0881.HK, EW)	• Weak sales of Mercedes and Lexus in 1H26 • Ongoing stake disposal by shareholder Jardine Matheson • Expansion of independent repair centers	• N/A	• Mercedes GLC BEV sales volume in July (just launched July 8) • Potential extra rebate from Mercedes • 1H26 results release in late August
Yongda (3669.HK, UW)	• Weak sales of BMW and Porsche in 1H26 • Rmb8-9K per unit extra rebate offered by BMW for 1H26 • Store openings of EV brands such as Huawei, Xpeng, Smart, etc.	• After-sales revenue to decline due to store closures • Earlier-than-peer negative impact from EV due to Yongda's store concentration in the Yangtze River Delta region • Higher-than-expected labor cost due to tighter enforcement of employer social insurance contributions	• Potential extra rebate from Porsche • 1H26 results release in late August
Meidong (1268.HK, UW)	• Weak sales of Porsche and BMW in 1H26 • Rmb8-9K per unit extra rebate offered by BMW for 1H26 • Initial trial of Huawei Aito stores	• After-sales revenue to decline due to store closures • Faster-than-expected customer loss as Meidong's "single city, single store" strategy means once the store is closed, it is difficult to retain customers in that city	• Potential extra rebate from Porsche • 1H26 results release in late August

Zhongsheng (0881.HK): Financial Summary

Exhibit 6: Zhongsheng's financial summary

Income Statement						Balance Sheet					
Rmb Mn	2024A	2025A	2026E	2027E	2028E	Rmb Mn	2024A	2025A	2026E	2027E	2028E
Revenue	168,124	164,403	160,364	159,696	163,871	Non-current assets					
COGS	157,452	155,566	149,523	146,889	150,473	PPE	17,324	17,874	18,761	19,508	20,113
Gross profit	10,672	8,838	10,841	12,807	13,398	Intangible assets	21,302	18,681	18,220	17,756	17,292
Other income & gains	4,784	3,067	1,764	1,757	1,803	Long-term investment	150	220	210	198	184
Selling expenses	7,553	7,827	7,635	7,603	7,802	Long-term deferred assets	548	594	594	594	594
Administrative expenses	2,229	4,601	2,233	2,344	2,461	Non-current assets	44,591	42,422	42,838	43,109	43,236
Operating profit	5,675	(522)	2,738	4,617	4,938	Current assets					
Finance costs	1,573	1,528	1,275	1,275	1,275	Inventories	18,477	17,934	17,779	17,374	17,737
Share of profit of JCE	2	(8)	(10)	(12)	(14)	Trade receivables	4,654	2,963	2,888	2,875	2,953
Profit before income tax	4,103	(2,058)	1,453	3,330	3,649	Prepayment & other receivable	19,313	19,833	19,346	19,265	19,769
Income tax expense	1,033	(159)	363	832	912	Cash and cash equivalents	18,688	15,421	15,644	17,156	18,344
Profit after tax	3,071	(1,900)	1,090	2,497	2,737	Other current assets	4,449	5,149	5,149	5,149	5,149
Minority interest	(141)	(226)	11	25	27	Current assets	65,580	61,301	60,805	61,820	63,952
Net profit	3,212	(1,673)	1,079	2,472	2,709	Current liabilities					
EPS (Rmb)	1.31	(0.71)	0.46	1.04	1.14	Trade and bills payables	12,608	16,535	15,893	15,613	15,994
Financial Analysis						Other payables and accruals	4,238	3,883	3,732	3,667	3,756
	2024A	2025A	2026E	2027E	2028E	Short-term bank loans	20,322	15,940	15,940	15,940	15,940
Growth (%)						Other current liabilities	2,851	2,803	2,803	2,803	2,803
Revenue	-6%	-2%	-2%	0%	3%	Current liabilities	40,019	39,162	38,369	38,023	38,493
Operating profit	-32%	N/M	N/M	69%	7%	Long-term bank loans	15,074	13,598	13,598	13,598	13,598
Net profit	-36%	N/M	N/M	129%	10%	Other non-current liabilities	8,160	7,434	7,434	7,434	7,434
Margins (%)						Non-current liability	23,234	21,032	21,032	21,032	21,032
GP margin	6.3%	5.4%	6.8%	8.0%	8.2%	Minority interests	88	-143	-132	-107	-79
OP margin	3.4%	-0.3%	1.7%	2.9%	3.0%	Share capital	0.2	0.2	0.2	0.2	0.2
Net margin	1.9%	-1.0%	0.7%	1.5%	1.7%	Reserves	46,829	43,672	44,374	45,981	47,742
Return (%)						Shareholders' equity	46,829	43,672	44,374	45,981	47,742
ROA	3.0%	-1.6%	1.0%	2.4%	2.6%	Cash Flow Statement					
ROE	6.9%	-3.8%	2.4%	5.4%	5.7%	Rmb Mn	2024A	2025A	2026E	2027E	2028E
Gearing (%)						Operating cash flow	3,439	9,405	3,975	5,747	5,466
Total liability/asset	57%	58%	57%	56%	56%	Investing cash flow	620	(2,049)	(2,100)	(2,094)	(2,055)
Total debt/equity	76%	68%	67%	64%	62%	Financing cash flow	(1,000)	(10,598)	(1,653)	(2,140)	(2,223)
Net debt/equity	26%	21%	20%	16%	13%	Changes in cash	3,059	(3,241)	222	1,513	1,187
Efficiency						Cash & cash equiv. at BOP	15,612	18,688	15,421	15,644	17,156
Asset turnover (x)	1.6	1.5	1.5	1.5	1.5	Exchange gains/(losses)	17	(25)	0	0	0
Inventory days	40.4	42.7	43.6	43.7	42.6	Cash & cash equiv. at EOP	18,688	15,421	15,644	17,156	18,344
Receivables days	49.3	51.9	51.2	50.7	50.0	Zhongsheng (0881.HK)					
Payable days	36.6	43.7	48.9	48.3	47.3	Operation Matrix	2024A	2025A	2026E	2027E	2028E
Cash days	53.1	50.9	46.0	46.0	45.2	New car sales volume					
YoY Change						- Luxury brands	293,370	311,443	312,079	314,390	328,177
	2024A	2025A	2026E	2027E	2028E	- Mid-to-high brands	191,937	185,873	180,561	159,936	145,034
Sales volume YoY						Total sales volume	485,307	497,316	492,640	474,326	473,211
- Luxury brands	-4%	6%	0%	1%	4%	Revenue (Rmb mn)					
- Mid-to-high brands	-3%	-3%	-3%	-11%	-9%	- New car sales	125,326	125,878	123,191	120,993	123,926
Total sales volume	-3%	2%	-1%	-4%	0%	- After-sales services	27,381	26,102	25,768	26,489	26,863
Revenue YoY						Total revenue	168,124	164,403	160,364	159,696	163,871
- New car sales	-11%	0%	-2%	-2%	2%	Gross margin					
- After-sales services	9%	-5%	-1%	3%	1%	- New car sales	-2.6%	-2.9%	-1.0%	0.3%	0.9%
Total revenue	-6%	-2%	-2%	0%	3%	- After-sales services	46.2%	46.0%	44.9%	44.5%	43.3%
Gross margin YoY (ppt)						Overall gross margin	6.3%	5.4%	6.8%	8.0%	8.2%
- New car sales	(3.3)	(0.4)	2.0	1.3	0.5	YoY Change	2024A	2025A	2026E	2027E	2028E
- After-sales services	(0.7)	(0.2)	(1.1)	(0.4)	(1.1)	Sales volume YoY					
Overall gross margin	(1.3)	(1.0)	1.4	1.3	0.2	- Luxury brands	-4%	6%	0%	1%	4%
						- Mid-to-high brands	-2%	-3%	-3%	-11%	-9%
						Total sales volume	-3%	2%	-1%	-4%	0%
						Revenue YoY					
						- New car sales	-11%	0%	-2%	-2%	2%
						- After-sales services	9%	-5%	-1%	3%	1%
						Total revenue	-6%	-2%	-2%	0%	3%
						Gross margin YoY (ppt)					
						- New car sales	(3.3)	(0.4)	2.0	1.3	0.5
						- After-sales services	(0.7)	(0.2)	(1.1)	(0.4)	(1.1)
						Overall gross margin	(1.3)	(1.0)	1.4	1.3	0.2

Source: Company data, Morgan Stanley Research (E) estimates

Zhongsheng: Valuation Methodology

We derive our price target of HK\$5.5 for Zhongsheng using the base-case scenario value from our DCF model.

Although fewer new car sales units could translate to narrower total new car losses, store closures could lead to lower customer retention rates and thus drag after-sales service units. We cut our 2026-28 earnings estimates as shown below, reflecting weaker-than-expected after-sales revenue due to store closures. As a result, we reduce our price target by 48%.

Other key assumptions are unchanged, including:

- 15.3% cost of equity – derived from a beta of 1.85, an equity risk premium of 4.5%, a risk-free rate of 3.3% and a China risk premium of 2.0%.
- 12.1% WACC – based on the 15.3% cost of equity and a post-tax cost of debt of 4.7%.

Exhibit 7: Zhongsheng estimate changes

Zhongsheng (881.HK)	OLD			NEW			CHANGE		
Rmb mn	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	165,623	168,998	177,508	160,364	159,696	163,871	-3.2%	-5.5%	-7.7%
Gross profit	11,726	13,991	15,400	10,841	12,807	13,398	-7.5%	-8.5%	-13.0%
Operating profit	3,798	5,837	6,836	2,738	4,617	4,938	-27.9%	-20.9%	-27.8%
Net profit	1,866	3,379	4,119	1,079	2,472	2,709	-42.2%	-26.8%	-34.2%
EPS (Rmb)	0.79	1.43	1.74	0.46	1.04	1.14	-42.2%	-26.8%	-34.2%
Gross margin	7.1%	8.3%	8.7%	6.8%	8.0%	8.2%	(0.3)	(0.3)	(0.5)
Operating margin	2.3%	3.5%	3.9%	1.7%	2.9%	3.0%	(0.6)	(0.6)	(0.8)
Net margin	1.1%	2.0%	2.3%	0.7%	1.5%	1.7%	(0.5)	(0.5)	(0.7)

Source: Morgan Stanley Research (E) estimates

Exhibit 8: Zhongsheng DCF valuation

Zhongsheng (Rmb mn)	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Turnover	168,124	164,403	160,364	159,696	163,871	168,787	172,163	173,884	175,623	177,379	179,153	180,945	182,754	184,582
YoY%	-	-2%	-2%	0%	3%	3%	2%	1%	1%	1%	1%	1%	1%	1%
Pre-tax profit (EBIT)	5,675	(522)	2,736	4,617	4,938	4,567	4,132	3,826	3,512	3,548	3,583	3,619	3,655	3,692
EBIT margin	3.4%	-0.3%	1.7%	2.9%	3.0%	2.7%	2.4%	2.2%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
YoY%	-	-109%	-624%	69%	7%	-8%	-9%	-7%	-8%	1%	1%	1%	1%	1%
+ Depreciation & Amortization	2,878	2,799	2,075	2,217	2,359	2,430	2,478	2,503	2,528	2,553	2,579	2,605	2,631	2,657
EBITDA	8,552	2,277	4,813	6,833	7,297	6,997	6,610	6,329	6,041	6,101	6,162	6,224	6,286	6,349
- Less adjusted taxes	(1,033)	159	(363)	(832)	(912)	(1,139)	(1,033)	(956)	(878)	(887)	(896)	(905)	(914)	(923)
- Capital expenditure	(2,101)	(2,887)	(2,453)	(2,453)	(2,453)	(2,453)	(2,453)	(2,453)	(2,453)	(2,453)	(2,453)	(2,453)	(2,453)	(2,453)
+/- Changes in working capital	(3,661)	5,654	(75)	152	(474)	(488)	(498)	(503)	(508)	(513)	(518)	(523)	(529)	(534)
Other adj.	(419)	1,316	(400)	(406)	(445)	(445)	(445)	(445)	(445)	(445)	(445)	(445)	(445)	(445)
Free cash flow	1,339	6,518	1,522	3,295	3,013	2,462	2,182	1,972	1,757	1,804	1,851	1,898	1,946	1,994
Discount factor			1.00	1.12	1.26	1.41	1.58	1.77	1.99	2.23	2.50	2.81	3.15	3.53
PV			1,522	2,938	2,396	1,746	1,379	1,112	883	808	740	677	618	565
Terminal value														5,122
Corporate NPV	20,507													
Minorities	132													
Net (debt)/cash	(8,878)													
Equity NPV	11,761													
NOSH	2,367													
NPV per share	4.97													
Exchange rate	1.10													
PT (HK\$)	5.5													

Cost of equity (%)		Cost of debt (%)	
Risk free rate (%)	3.3	Average spread over risk-free rate (%)	3.0
Beta	1.85	Pre-tax cost of debt (%)	6.3
HK Equity risk premium (%)	4.5	Average corporate tax rate for company (%)	25.0
China Equity risk premium (%)	2.0	Post-tax cost of debt (%)	4.7
CAPM unleveraged discount rate	15.3		
Estimated target gearing (net debt/EV) (%)		30.0	
WACC (%)		12.1	

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Zhongsheng Group Holdings (0881.HK)

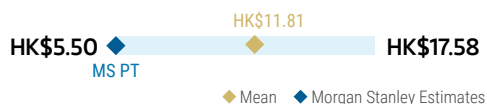
New car sales take longer to recover

PRICE TARGET HK\$5.50

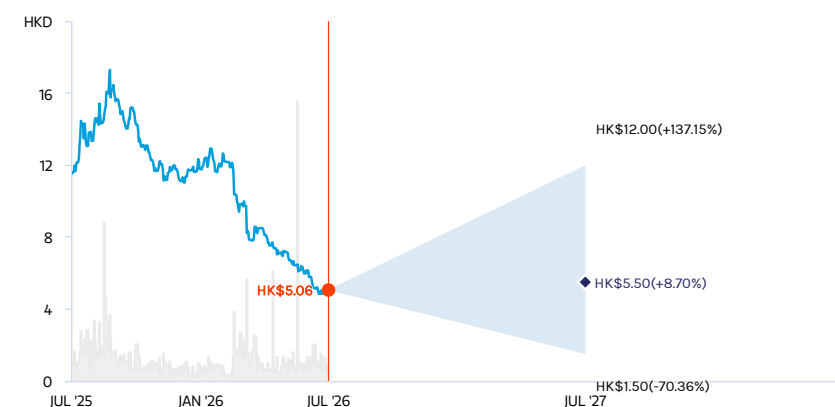
Base case, derived from discounted cash flow methodology. Our key assumptions include a 12.1% WACC (15.3% cost of equity, 4.7% cost of debt, 30% target gearing ratio) and a 1% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



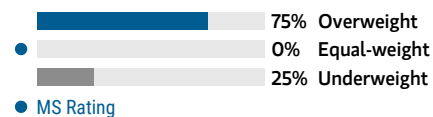
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- New car sales business takes longer to recover, due to falling commission income and weak ICE car demand.
- Zhongsheng has been expanding into Chinese EV brands such as Aito, which helps to offset volume declines of foreign luxury brands.
- We expect Zhongsheng's car repair business to be more resilient than peers, as Zhongsheng's independent repair centers can also serve external customers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	Negative
Secular Growth:	Negative
Self-help:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$12.00

10x 2027E bull case EPS

New car sales turn around in 2026-27: Zhongsheng's new car sales growth is stronger than expected and new car margins recover from narrowing discounts. After-sales services post strong growth with resilient margins thanks to rapid expansion of centralized collision centers.

BASE CASE

HK\$5.50

5x 2027E base case EPS

Slow earnings recovery in 2026-27: Zhongsheng's new car losses narrow thanks to increasing contributions of EV brands. After-sales service revenue remains flattish due to store closures.

BEAR CASE

HK\$1.50

3x 2027E bear case EPS

New car sales remain unprofitable in 2026-27: Zhongsheng's new car sales deteriorate further as luxury brands face intensifying competition from EVs. After-sales service revenue declines as customers choose cheaper alternatives amid an economic downturn.

Risk Reward – Zhongsheng Group Holdings (0881.HK)

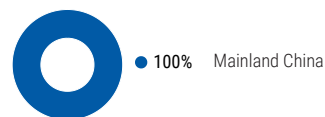
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
New car sales volume (000s)	497	493	474	473
New car gross margin (%)	(2.9)	(1.0)	0.3	0.9
New car revenue growth (%)	0	(2)	(2)	2
After-sales revenue growth (%)	(5)	(1)	3	1

INVESTMENT DRIVERS

- New car sales, especially sales of its key luxury brands
- New car margin
- After-sales services volume
- ASP of new cars and after-sales services
- Network expansion plans

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected new car sales recovery
- Narrowing discounts and gross margin improvement of key brands, such as Mercedes and Lexus
- Faster-than-expected network expansion via M&A

RISKS TO DOWNSIDE

- Weaker-than-expected new car sales
- Tougher-than-expected price competition among luxury dealers
- Lower-than-expected EV new car commission

OWNERSHIP POSITIONING

Inst. Owners, % Active 69.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 158,747.1 **160,364.1** 203,333.0
166,698.8

EBITDA (Rmb, mn) 4,480.0 **4,813** 8,409.0
5,993.2

Net income (Rmb, mn) 908.0 **1,079** 3,383.0
2,092.0

EPS (Rmb) 0.4 **0.5** 1.4
0.9

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Yongda (3669.HK): Financial Summary

Exhibit 9: Yongda's financial summary

Income Statement					
RMB Mn	2024A	2025A	2026E	2027E	2028E
Revenue	63,420	54,600	53,523	53,918	56,159
Cost of sales	(58,147)	(50,308)	(48,745)	(48,930)	(51,072)
Gross profit	5,273	4,292	4,778	4,988	5,086
Other income & gains	21	(4,833)	47	47	47
Selling expenses	(3,389)	(3,289)	(3,104)	(3,073)	(3,089)
Administrative expenses	(1,500)	(1,407)	(1,478)	(1,552)	(1,598)
EBIT	406	(5,237)	243	410	446
Finance costs	(298)	(234)	(285)	(285)	(285)
Share of results of JVs	5	(0)	(0)	(0)	(0)
Share of results of associates	96	92	91	91	95
Profit before tax	209	(5,379)	49	216	256
Income tax expense	(43)	24	(10)	(43)	(51)
PAT	165	(5,354)	39	173	205
Minority interest	35	283	(2)	(9)	(11)
Net profit	201	(5,072)	37	164	194
EPS (Rmb)	0.11	(2.72)	0.02	0.09	0.10

	2024A	2025A	2026E	2027E	2028E
Growth (%)					
Revenue	-15%	-14%	-2%	1%	4%
Operating profit	-58%	n.a.	n.a.	68%	9%
Net profit	-65%	n.a.	n.a.	345%	19%
Margins (%)					
Gross margin	8.3%	7.9%	8.9%	9.3%	9.1%
Operating margin	0.6%	-9.6%	0.5%	0.8%	0.8%
Net margin	0.3%	-9.3%	0.1%	0.3%	0.3%
EBITDA margin	1.8%	-8.4%	1.0%	1.3%	1.3%
Return (%)					
ROA	0.6%	-17.1%	0.2%	0.7%	0.8%
ROE	1.4%	-45.3%	0.4%	1.9%	2.3%
Gearing (%)					
Total liabilities/assets	59%	65%	64%	64%	65%
Total debt/equity	21%	34%	34%	34%	34%
Net debt/equity	10%	8%	3%	-4%	-11%
Asset/equity	2.5	2.9	2.8	2.8	2.9
Total debt / EBITDA	2.6	(0.6)	5.6	4.3	4.1
Efficiency					
Asset turnover (x)	1.9	1.8	2.2	2.2	2.3
Inventory days	26.7	28.2	26.6	26.2	25.7
Receivable days	38.6	38.2	35.1	34.6	34.0
Payable days	69.2	79.3	65.8	64.7	63.9
G&A / sales	2.4%	2.6%	2.8%	2.9%	2.8%
SG&A / sales	7.7%	8.6%	8.6%	8.6%	8.3%
EBITDA / financial cost	3.8	(19.6)	1.8	2.4	2.5
Current ratio	1.2	1.2	1.2	1.3	1.3
Quick ratio	0.4	0.6	0.6	0.7	0.7

Yongda (3669.HK)					
Operation Matrix	2024A	2025A	2026E	2027E	2028E
New car sales volume					
- Luxury brands	113,817	99,720	101,884	103,268	109,278
- Mid-to-high brands	50,019	40,836	32,257	27,113	24,977
Total sales volume	163,836	140,556	134,142	130,381	134,255
Revenue (Rmb mn)					
- New car sales	49,455	41,675	40,560	40,912	43,366
- After-sales services	9,748	9,469	9,113	8,662	8,242
- Auto rental services	466	372	383	395	407
Total revenue	63,420	54,600	53,523	53,918	56,159
Gross margin					
- New car sales	1.7%	0.1%	1.9%	3.0%	3.5%
- After-sales services	40.4%	41.7%	40.8%	39.8%	39.3%
- Auto rental services	15.2%	22.8%	22.8%	22.8%	22.8%
Overall gross margin	8.3%	7.9%	8.9%	9.3%	9.1%

Balance Sheet					
RMB Mn	2024A	2025A	2026E	2027E	2028E
Property, plant and equipment	5,336	3,365	2,843	2,328	1,829
Intangible assets	2,902	1,114	1,044	973	900
Deferred tax assets	464	148	148	148	148
Other non current assets	6,187	4,414	4,504	4,595	4,690
Non-current assets	14,889	9,041	8,539	8,044	7,567
Inventories	4,150	3,612	3,500	3,513	3,667
Trade and other receivables	6,219	5,197	5,094	5,132	5,345
Pledged bank deposits	8,238	4,110	4,110	4,110	4,110
Bank balances and cash	1,458	2,192	2,648	3,234	3,884
Other current assets	59	56	56	56	56
Current assets	20,158	15,190	15,432	16,069	17,085
Trade and other payables	12,934	8,923	8,646	8,714	9,165
Amounts due to related parties	33	43	43	43	43
Income tax liabilities	840	803	803	803	803
Borrowings	1,566	1,607	1,607	1,607	1,607
Current liabilities	17,139	12,870	12,593	12,661	13,112
Borrowings	1,348	1,307	1,307	1,307	1,307
Non-current liabilities	3,691	2,860	2,860	2,860	2,860
Minority interests	335	12	14	23	34
Share capital	16	15	15	15	15
Reserves	13,866	8,474	8,488	8,554	8,631
Shareholders' equity	13,881	8,489	8,504	8,569	8,647

Cash Flow Statement					
RMB Mn	2024A	2025A	2026E	2027E	2028E
Profit before tax	209	(5,379)	49	216	256
Depreciation of PPE	729	660	276	268	260
Changes in working capital	89	1,303	(63)	17	84
Others	491	5,302	418	417	445
Cash flow from operating	1,518	1,886	680	917	1,045
Purchase of PPE	(1,048)	(961)	(950)	(915)	(888)
Purchase of intangibles	(186)	(60)	(206)	(238)	(276)
Others	978	772	1,239	1,205	1,170
Cash flow from investing	(257)	(248)	83	52	6
New bank borrowings raised	22,576	11,286	0	0	0
Repayment of borrowings	(23,622)	(11,285)	0	0	0
Dividend paid to Yongda CLS	(249)	(301)	(22)	(98)	(117)
Others	(710)	(602)	(285)	(285)	(285)
Cash flow from financing	(2,005)	(903)	(307)	(383)	(402)
Inc/(dec) in cash & equiv.	(743)	734	456	586	650
Cash & cash equiv. at BOP	2,201	1,458	2,192	2,648	3,234
Cash & cash equiv. at EOP	1,458	2,192	2,648	3,234	3,884

YoY Change	2024A	2025A	2026E	2027E	2028E
Sales volume YoY					
- Luxury brands	-13%	-12%	2%	1%	6%
- Mid-to-high brands	-7%	-18%	-21%	-16%	-8%
Total sales volume	-11%	-14%	-5%	-3%	3%
Revenue YoY					
- New car sales	-12%	-16%	-3%	1%	6%
- After-sales services	3%	-3%	-4%	-5%	-5%
- Auto rental services	-2%	-20%	3%	3%	3%
Total revenue	-15%	-14%	-2%	1%	4%
Gross margin YoY (ppt)					
- New car sales	(1.3)	(1.7)	1.8	1.1	0.5
- After-sales services	(4.9)	1.3	(1.0)	(0.9)	(0.5)
- Auto rental services	(7.6)	7.6	0.0	(0.0)	-
Overall gross margin	(0.7)	(0.5)	1.1	0.3	(0.2)

Source: Company data, Morgan Stanley Research (E) estimates

Yongda: Valuation Methodology

We use the base case scenario value from our DCF model to derive our price target of HK \$0.6 for Yongda.

Although fewer new car sales units could translate to narrower total new car loss, store closures could lead to lower customer retention rates and thus drag after-sales service units. We cut our earnings estimates as shown below, reflecting weaker-than-expected after-sales revenue due to store closures. We also reduce our terminal growth rate assumption from 1% to -1%; we expect Yongda's after-sales revenue to decline in the long term, as it has few independent repair centers to acquire external customers. As a result, we lower our price target by 50%.

Other key assumptions are unchanged, including:

- 15.3% cost of equity – derived from a beta of 1.85, an equity risk premium of 4.5%, a risk-free rate of 3.3% and a China risk premium of 2.0%.
- 13% WACC – derived from a 15.3% cost of equity and a post-tax cost of debt of 7.7%.

Exhibit 10: Yongda's estimates changes

Yongda (3669.HK)	OLD			NEW			CHANGE		
Rmb mn	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	56,205	58,652	60,510	53,523	53,918	56,159	-4.8%	-8.1%	-7.2%
Gross profit	4,970	5,268	5,435	4,778	4,988	5,086	-3.9%	-5.3%	-6.4%
Operating profit	335	479	556	243	410	446	-27.5%	-14.4%	-19.7%
Net profit	110	222	283	37	164	194	-66.6%	-26.3%	-31.3%
EPS (Rmb)	0.06	0.12	0.15	0.02	0.09	0.10	-66.6%	-26.3%	-31.3%
Gross margin	8.8%	9.0%	9.0%	8.9%	9.3%	9.1%	0.1	0.3	0.1
Operating margin	0.6%	0.8%	0.9%	0.5%	0.8%	0.8%	(0.1)	(0.1)	(0.1)
Net margin	0.2%	0.4%	0.5%	0.1%	0.3%	0.3%	(0.1)	(0.1)	(0.1)

Source: Morgan Stanley Research (E) estimates

Exhibit 11: Yongda's DCF valuation

Yongda (Rmb mn)	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Turnover	63,420	54,600	53,523	53,918	56,159	57,950	59,689	60,883	62,100	62,721	63,349	63,349	63,349	62,715
YoY%		-14%	-2%	1%	4%	3%	3%	2%	2%	1%	1%	0%	0%	-1%
Pre-tax profit (EBIT)	406	(5,237)	243	410	446	461	475	484	494	499	504	504	504	499
EBIT margin	0.6%	-9.6%	0.5%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%
YoY%		-1390%	-105%	68%	9%	3%	3%	2%	2%	1%	1%	0%	0%	-1%
+ Depreciation & Amortization	850	766	401	395	389	401	413	421	430	434	439	439	439	434
EBITDA	1,256	(4,471)	644	805	835	862	888	906	924	933	942	942	942	933
- Less adjusted taxes	(43)	24	(10)	(43)	(51)	(53)	(54)	(56)	(57)	(57)	(58)	(58)	(58)	(57)
- Capital expenditure	(1,048)	(961)	(950)	(915)	(888)	(888)	(888)	(888)	(888)	(888)	(888)	(888)	(888)	(888)
+/- Changes in working capital	89	1,303	(63)	17	84	87	90	91	93	94	95	95	95	94
Other adj.	216	8,583	108	139	177	177	177	177	177	177	177	177	177	177
Free cash flow	470	4,478	(270)	2	157	185	212	230	249	258	268	268	268	258
Discount factor			1.00	1.13	1.28	1.44	1.63	1.85	2.09	2.36	2.67	3.01	3.41	3.85
PV			(270)	2	123	128	130	125	119	110	101	89	79	67
Terminal value														473
Corporate NPV	1,273													
Minorities	(14)													
Net cash/(debt)	(242)													
Equity NPV	1,017													
NOSH	1,865													
NPV Per share	0.5													
Exchange rate	1.10													
PT (HK\$)	0.60													

Cost of equity (%)	15.3	Cost of debt (%)	7.7
Risk free rate (%)	3.3	Average spread over risk-free rate (%)	7.0
Beta	1.85	Pre-tax cost of debt (%)	10.3
HK Equity risk premium (%)	4.5	Average corporate tax rate for company (%)	25.0
China Equity risk premium (%)	2.0	Post-tax cost of debt (%)	7.7
CAPM unleveraged discount rate	15.3		
Estimated target gearing (net debt/EV) (%)	30.0		
WACC (%)	13.0		

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – China Yongda Automobiles Services (3669.HK)

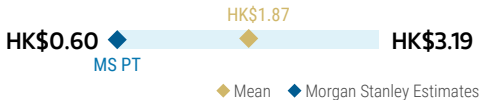
Store closures dragging after-sales business

PRICE TARGET HK\$0.60

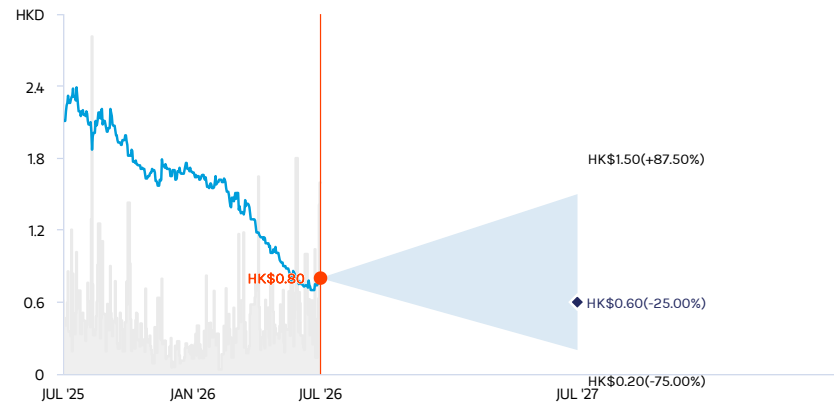
Base case, derived from discounted cash flow (DCF) methodology. Our key assumptions include a 13% WACC (15.3% cost of equity and 7.7% cost of debt) and a -2% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



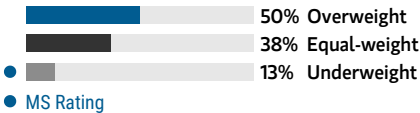
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- Yongda is the largest BMW dealer in China, and thus has been suffering from BMW China's deep sales discounts.
- We expect Yongda's after-sales revenue to decline due to store closures.
- Yongda has the highest exposure to EV-related businesses among peers, which should contribute to long-term growth, but it does take time to realize meaningful profit contribution.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Electric Vehicles: Negative
- Secular Growth: Negative
- Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$1.50

10x 2027E bull case EPS

New car sales turn around in 2026-27: Yongda's new car sales growth is stronger than expected and new car margins recover from narrowing discounts. After-sales services grow steadily thanks to effective customer retention. EV business expands rapidly to bring meaningful profit.

BASE CASE

HK\$0.60

6x 2027E base case EPS

Slow earnings recovery in 2026-27: Yongda's new car loss narrows thanks to increasing contributions of EV brands. After-sales service revenue declines due to store closures.

BEAR CASE

HK\$0.20

3x 2027E bear case EPS

New car sales remain unprofitable in 2026-27: Yongda's new car sales deteriorate further as luxury brands face intensifying competition from EVs. After-sales service revenue declines notably as customers choose cheaper alternatives amid an economic downturn.

Risk Reward – China Yongda Automobiles Services (3669.HK)

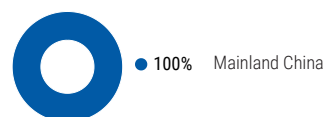
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
New car sales volume (000s)	141	134	130	134
New car gross margin (%)	0.1	1.9	3.0	3.5
New car revenue growth (%)	(16)	(3)	1	6
After-sales revenue growth (%)	(3)	(4)	(5)	(5)

INVESTMENT DRIVERS

- New car sales, especially sales of its key luxury brands
- New car margin
- After-sales services volume
- ASP of new cars and after-sales services
- Network expansion plans

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected new car sales
- Faster-than-expected EV business expansion
- Stronger-than-expected used car business growth

RISKS TO DOWNSIDE

- Weaker-than-expected new car sales
- Tougher-than-expected price competition among luxury dealers
- Lower-than-expected EV new car commission

OWNERSHIP POSITIONING

Inst. Owners, % Active 26.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 48,807.0 53,523.3 56,683.6
52,272.4

EBITDA (Rmb, mn) 441.0 644 1,361.1
983.5

Net income (Rmb, mn) (259.0) 37 240.3
40.3

EPS (Rmb) (0.1) 0.0 0.1
0.1

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Meidong: Valuation Methodology

We use the base case scenario value from our DCF model to derive our price target of HK \$0.4 for Meidong.

Although fewer new car sales units could translate to narrower total new car loss, store closures could lead to lower customer retention rate and thus drag after-sales service units. We cut our earnings estimates as shown below to reflect weaker-than-expected after-sales revenue due to store closures. We also reduce our terminal growth rate assumption from 1% to -1%; we expect Meidong's after-sales revenue to decline in the long term, as it doesn't have independent repair centers to acquire external customers. In addition, its "single city, single store" strategy means that once it closes a store in one city, it is difficult to divert existing customers to its other stores. As a result, we lower our price target by 73%.

Other key assumptions are unchanged, including:

- 15.3% cost of equity – derived from a beta of 1.85, an equity risk premium of 4.5%, a risk-free rate of 3.3% and a China risk premium of 2.0%.
- 13% WACC – derived from a 15.3% cost of equity and a post-tax cost of debt of 7.7%.

Exhibit 13: Meidong's estimates changes

Meidong (1268.HK)	OLD			NEW			CHANGE		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Rmb mn									
Revenue	18,028	17,471	17,721	15,009	12,056	11,393	-16.7%	-31.0%	-35.7%
Gross profit	1,086	1,209	1,327	910	988	1,035	-16.2%	-18.2%	-22.0%
Operating profit	192	303	390	85	207	242	-55.8%	-31.9%	-37.9%
Net profit	97	180	245	14	104	130	-85.2%	-42.3%	-46.9%
EPS (Rmb)	0.07	0.13	0.18	0.01	0.08	0.10	-85.2%	-42.3%	-46.9%
Gross margin	6.0%	6.9%	7.5%	6.1%	8.2%	9.1%	0.0	1.3	1.6
Operating margin	1.1%	1.7%	2.2%	0.6%	1.7%	2.1%	(0.5)	(0.0)	(0.1)
Net margin	0.5%	1.0%	1.4%	0.1%	0.9%	1.1%	(0.4)	(0.2)	(0.2)

Source: Morgan Stanley Research (E) estimates

Exhibit 14: Meidong's DCF valuation

Meidong (Rmb mn)	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Turnover	22,154	20,023	15,009	12,056	11,393	10,823	10,282	9,870	9,476	9,191	8,916	8,737	8,563	8,477
YoY%		-10%	-25%	-20%	-6%	-5%	-5%	-4%	-4%	-3%	-3%	-2%	-2%	-1%
Pre-tax profit (EBIT)	(2,413)	(716)	85	207	242	184	134	99	57	55	53	52	51	51
EBIT margin	-10.9%	-3.6%	0.6%	1.7%	2.1%	1.7%	1.3%	1.0%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%
YoY%		-70%	-112%	144%	17%	-24%	-27%	-26%	-42%	-3%	-3%	-2%	-2%	-1%
+ Depreciation & Amortization	555	380	374	398	422	401	381	366	351	341	330	324	317	314
EBITDA	(1,858)	(336)	459	605	664	585	515	464	408	396	384	376	369	365
- Less adjusted taxes	376	155	(5)	(35)	(43)	(46)	(33)	(25)	(14)	(14)	(13)	(13)	(13)	(13)
- Capital expenditure	(111)	(141)	(300)	(300)	(300)	(300)	(300)	(300)	(300)	(300)	(300)	(300)	(300)	(300)
+/- Changes in working capital	106	(57)	(145)	(301)	(179)	(170)	(161)	(155)	(149)	(144)	(140)	(137)	(134)	(133)
Other adj.	2,241	720	(4)	(4)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)
Free cash flow	754	341	5	(35)	139	66	16	(19)	(58)	(66)	(73)	(78)	(82)	(84)
Discount factor			1.00	1.13	1.28	1.44	1.63	1.85	2.09	2.36	2.67	3.01	3.41	3.85
PV			5	(31)	108	45	10	(10)	(28)	(28)	(27)	(26)	(24)	(22)
Terminal value														(154)
Corporate NPV	(181)													
Minorities	(115)													
Net (debt)/cash	787													
Equity NPV	491													
NOSH	1,346													
NPV per share	0.4													
Exchange rate	1.10													
PT (HK\$)	0.40													

Cost of equity (%)		Cost of debt (%)	
Risk free rate (%)	3.3	Average spread over risk-free rate (%)	7.0
Beta	1.85	Pre-tax cost of debt (%)	10.3
HK Equity risk premium (%)	4.5	Average corporate tax rate for company (%)	25.0
China Equity risk premium (%)	2.0	Post-tax cost of debt (%)	7.7
CAPM unleveraged discount rate	15.3		
Estimated target gearing (net debt/EV) (%)		30.0	
WACC (%)		13.0	

Source: Company data, Morgan Stanley Research (E) estimates

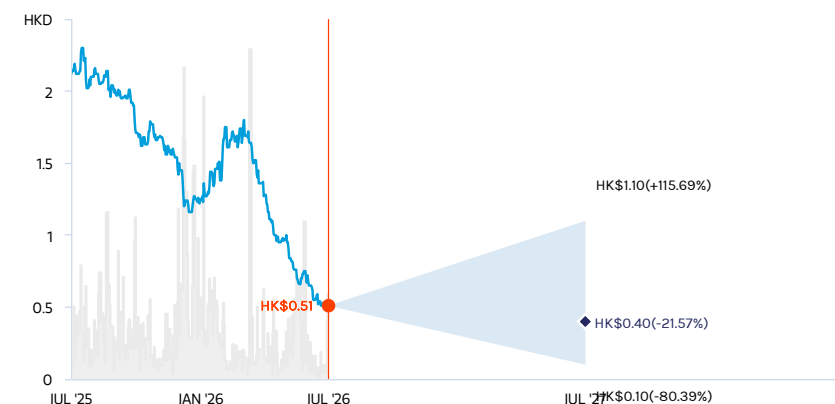
Risk Reward – China MeiDong Auto Holdings Ltd (1268.HK)

Downsizing Porsche dealer stores

PRICE TARGET HK\$0.40

Base case, derived from DCF methodology. Our key assumptions include a 13% WACC (15.3% cost of equity and 7.7% cost of debt) and a -2% terminal growth rate.

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- MeiDong has been closing Porsche dealer stores due to weak sales performance.
- Its new car business will likely take time to recover as Porsche dealers should see further volume declines in 2026, while we expect BMW dealers to remain loss-making on new car sales.
- We see MeiDong's after-sales revenue decreasing due to store closures.

Risk Reward Themes

Electric Vehicles:	Negative
Secular Growth:	Negative
Self-help:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$1.10

10x 2027E bull case EPS

New car sales turn around in 2026-27:

MeiDong's new car sales growth is stronger than expected and new car margins recover from narrowing discounts. After-sales services grow steadily thanks to effective customer retention. EV business expands rapidly to bring meaningful profit.

BASE CASE

HK\$0.40

5x 2027E base case EPS

Slow earnings recovery in 2026-27:

MeiDong's new car losses narrow thanks to Porsche China's supply cuts. After-sales service revenue declines due to store closures.

BEAR CASE

HK\$0.10

3x 2027E bear case EPS

New car sales remain unprofitable in 2026-27:

MeiDong's new car sales deteriorate further as luxury brands face intensifying competition from EVs. After-sales service revenue declines notably as customers choose cheaper alternatives amid an economic downturn.

Risk Reward – China MeiDong Auto Holdings Ltd (1268.HK)

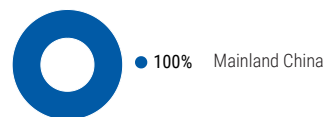
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
New car sales volume (000s)	58	47	39	37
New car gross margin (%)	(5.9)	(5.0)	(3.8)	(3.3)
New car revenue growth (%)	(9)	(28)	(23)	(7)
After-sales revenue growth (%)	(11)	(14)	(7)	(1)

INVESTMENT DRIVERS

- New car sales, especially sales of its key luxury brands
- New car margin
- After-sales services volume
- ASP of new cars and after-sales services
- Network expansion plans

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected new car sales
- Gross margin improvement of key brands, such as Porsche and BMW
- Faster-than-expected EV business expansion

RISKS TO DOWNSIDE

- Weaker-than-expected new car sales
- Tougher-than-expected price competition among luxury dealers
- Faster-than-expected market share loss of luxury gasoline cars to EVs

OWNERSHIP POSITIONING

Inst. Owners, % Active 79.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) ◆ 15,009.4
Note: There are not sufficient brokers supplying consensus data for this metric

EBITDA (Rmb, mn) ◆ 471
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) ◆ 14
Note: There are not sufficient brokers supplying consensus data for this metric

EPS (Rmb) ◆ 0.0
Note: There are not sufficient brokers supplying consensus data for this metric

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

This report references U.S. Executive Order 14032 and/or entities or securities that are designated thereunder. U.S. persons may be prohibited from buying certain securities of entities named in this report. Readers are solely responsible for ensuring that their investment activities are carried out in compliance with applicable laws.

This report references export controls and/or entities that may be subject to export control restrictions. Readers are solely responsible for ensuring that their investment or trade activities are carried out in compliance with applicable laws.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Tim Hsiao; Shelley Wang, CFA; Joey Xu, CFA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Brilliance China Automotive, BYD Company Limited, Changzhou Xingyu Automotive Lighting Sys, EHang Holdings Ltd, Great Wall Motor Company Limited, Hesai Group, Li Auto Inc., NIO Inc., Suzhou Recodeal Interconnect System, Voyah Automotive Technology Co. Ltd., WeRide Inc, XPeng Inc., Zhejiang Sanhua Intelligent Controls, Zhengzhou Yutong Bus Co.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Horizon Robotics, NIO Inc., WeRide Inc, Zhongsheng Group Holdings. Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Huizhou Desay SV Automotive Co Ltd, NIO Inc., WeRide Inc.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from BYD Company Limited, Changzhou Xingyu Automotive Lighting Sys, Chongqing Changan Automobile, EHang Holdings Ltd, Fuyao Glass Industry Group, Geely Automobile Holdings, Great Wall Motor Company Limited, Hesai Group, Huizhou Desay SV Automotive Co Ltd, Li Auto Inc., Minth Group Limited, Ningbo Joyson Electronic Corp, Ningbo Tuopu Group Co Ltd, NIO Inc., SAIC Motor Corp. Ltd., WeRide Inc, Zhongsheng Group Holdings. Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from BYD Company Limited, EHang Holdings Ltd, Geely Automobile Holdings, Hesai Group, Horizon Robotics, Minth Group Limited, Zhongsheng Group Holdings.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: BYD Company Limited, Changzhou Xingyu Automotive Lighting Sys, Chongqing Changan Automobile, EHang Holdings Ltd, Fuyao Glass Industry Group, Geely Automobile Holdings, Great Wall Motor Company Limited, Hesai Group, Horizon Robotics, Huizhou Desay SV Automotive Co Ltd, Li Auto Inc., Minth Group Limited, Ningbo Joyson Electronic Corp, Ningbo Tuopu Group Co Ltd, NIO Inc., SAIC Motor Corp. Ltd., WeRide Inc, Zhongsheng Group Holdings.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: BYD Company Limited, China MeiDong Auto Holdings Ltd, EHang Holdings Ltd, Geely Automobile Holdings, Hesai Group, Horizon Robotics, Minth Group Limited, NIO Inc., Zhongsheng Group Holdings.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision

to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

China MeiDong Auto Holdings Ltd (1268.HK) - As of 07/10/26 GMT in HKD
Industry : China Autos & Shared Mobility



Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

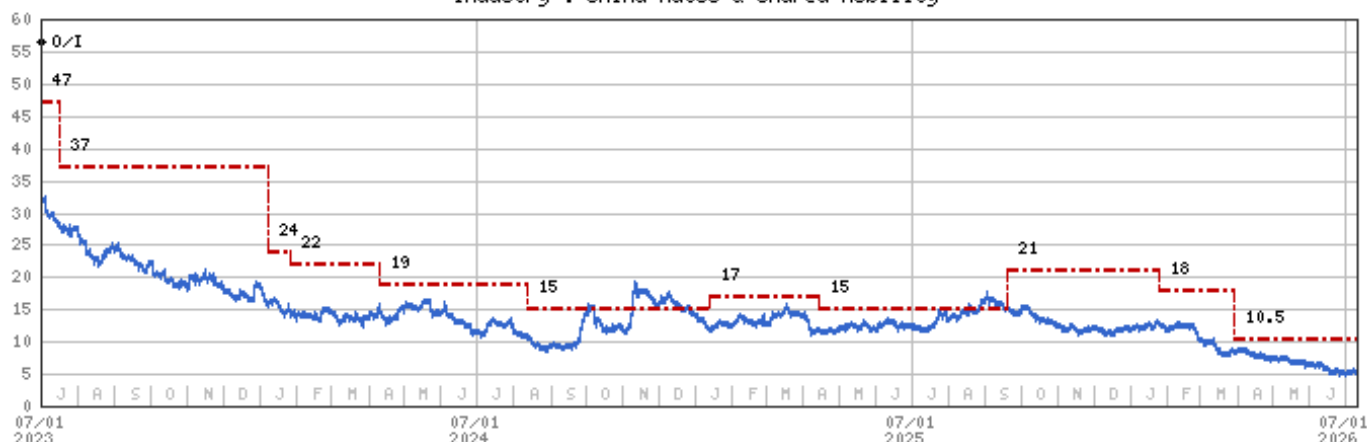
China Yongda Automobiles Services (3669.HK) - As of 07/10/26 GMT in HKD
Industry : China Autos & Shared Mobility



Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Zhongsheng Group Holdings (0881.HK) - As of 07/10/26 GMT in HKD
Industry : China Autos & Shared Mobility



Stock Rating History: 7/1/21 : NA/C; 8/24/21 : NA/C; 9/1/21 : NA/A; 9/9/21 : NA/A; 10/12/21 : O/A; 8/25/22 : O/I

Price Target History: 11/26/20 : 80; 7/1/21 : NA; 8/24/21 : NA; 9/9/21 : NA; 10/12/21 : 85; 6/22/22 : 80; 7/25/22 : 76; 8/25/22 : 65; 10/31/22 : 46; 2/20/23 : 50; 5/15/23 : 47; 7/17/23 : 37; 1/8/24 : 24; 1/26/24 : 22; 4/10/24 : 19; 8/13/24 : 15; 1/13/25 : 17; 4/14/25 : 15; 9/19/25 : 21; 1/26/26 : 18; 3/30/26 : 10.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those

who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of BYD Company Limited, Geely Automobile Holdings, Great Wall Motor Company Limited, Hesai Group, Horizon Robotics, Li Auto Inc., NIO Inc., XPeng Inc., Zhejiang Sanhua Intelligent Controls, Zhongsheng Group Holdings listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: <http://www.hkex.com.hk>.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/09/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb24.45
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.80
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$1.98
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb6.94
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.10
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.16
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.79
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb10.72
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb22.60
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb9.91
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$3.13
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb28.21
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb67.95
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb25.81
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb94.93
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.51
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$0.80
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb24.70
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb50.68
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$50.60
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb88.38
Keboda (603786.SS)	O (01/17/2024)	Rmb41.44
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$27.50
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.38
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$3.93

Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb21.21
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb55.83
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.80
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb81.73
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.22
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb42.85
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$5.06
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.64
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb86.87
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$82.65
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.79
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.13
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.06
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.49
Hesai Group (HSAI.O)	O (07/28/2025)	US\$16.40
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.36
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$11.91
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$46.76
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$38.04
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.78
WeRide Inc (WRD.O)	O (11/19/2024)	US\$5.55
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$50.85
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$12.98

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.